

But then, after you are well into retirement, your risk might shift in the other direction. This risk is that your mortality rate spikes down! You now have converted most of your human capital into financial capital, and in all likelihood you have lost your ability to generate any more financial capital. What you do have is a finite nest egg that must last for the rest of your life. The risk you face is that you live much longer than you expected and your nest egg can support. Also, you face the risk—yes, this is a risk—that one of the major pharmaceutical firms develops a drug that extends your life, which again reduces your mortality rate. All of this means you should be “short” and not “long” mortality as you age, and the best way to do this is with longevity insurance and annuities.

I discuss this topic further and in greater detail in Chapter 8, “Spending Your Retirement in Monte Carlo” and Chapter 9, “Annuities Are Personal Pensions,” but for now it’s important to remember and understand life insurance’s role as part of a life cycle financial plan. As you progress through this cycle, your need for insurance must change and adapt. Remember the rate of return on basic life insurance is negative. It is a lousy investment in the traditional sense of generating positive investment returns. However, your human capital is a very valuable asset that should be protected. Although the returns from your insurance policy might be negative, the returns from your human capital are certainly positive. This negative correlation translates to insurance being a great risk management or hedging instrument. In the language of what is often called modern portfolio theory, the correlation between the returns on life insurance and the returns on human capital are quite negative. This is good news for reducing overall portfolio risk, as I will elaborate on in later chapters.

Summary

- The purpose of basic life insurance is to hedge your human capital when you are young and have financial dependents that rely on you for income and support. It is primarily a risk management instrument.
- Basic life insurance isn’t meant as an investment. Oddly enough, the best outcome is that you waste all the life insurance premiums and you earn a -100% rate of return.